

SENATE No. 421

The Commonwealth of Massachusetts

PRESENTED BY:

Patrick M. O'Connor

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act requiring financial education in schools.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	
<i>Patrick M. O'Connor</i>	<i>First Plymouth and Norfolk</i>	
<i>Deborah B. Goldberg, Treasurer and Receiver General</i>	<i>Treasurer</i>	
<i>James B. Eldridge</i>	<i>Middlesex and Worcester</i>	<i>5/16/2025</i>
<i>John F. Keenan</i>	<i>Norfolk and Plymouth</i>	<i>6/2/2025</i>
<i>Patrick Joseph Kearney</i>	<i>4th Plymouth</i>	<i>10/28/2025</i>
<i>Bruce E. Tarr</i>	<i>First Essex and Middlesex</i>	<i>2/12/2026</i>
<i>Michael D. Brady</i>	<i>Second Plymouth and Norfolk</i>	<i>4/30/2026</i>
<i>Nick Collins</i>	<i>First Suffolk</i>	<i>6/22/2026</i>

SENATE No. 421

By Mr. O'Connor, a petition (accompanied by bill, Senate, No. 421) of Patrick M. O'Connor and Deborah B. Goldberg, Treasurer and Receiver General, for legislation to require financial education in schools. Education.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE SENATE, NO. 327 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act requiring financial education in schools.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 29 of the General Laws is hereby amended by inserting after
2 section 2DDDDDD the following section:-

3 Section 2EEEEEE. (a) There shall be established and set up on the books of the
4 commonwealth a separate fund to be known as the Financial Literacy Trust Fund. The fund shall
5 be administered by the commissioner of elementary and secondary education. The fund shall be
6 credited with: (i) revenue from appropriations or other money authorized by the general court
7 and specifically designated to be credited to the fund; (ii) interest earned on such revenues; and
8 (iii) funds from public and private sources such as gifts, grants and donations to further financial
9 education and professional development. Amounts credited to the fund shall not be subject to

further appropriation and any money remaining in the fund at the end of a fiscal year shall not revert to the General Fund.

(b) Amounts credited to the fund may be expended without further appropriation by the commissioner, for purposes related to the instruction of elementary, middle and high school students on financial literacy, including, but not limited to: (i) development of curricular materials for the financial literacy framework; and (ii) professional development training, including the provision of training, seminars, conferences, and materials, for educators to use in the teaching of financial literacy. In expending amounts credited to the fund, the commissioner shall prioritize: (i) underserved communities across the commonwealth, including those public schools or school districts with high concentrations of economically disadvantaged students; and (ii) schools implementing a financial literacy education program consistent with the standards set by the department of elementary and secondary education for the first time.

(c) Amounts received from private sources shall be approved by the commissioner of elementary and secondary education and subject to review before being deposited in the fund to ensure that pledged funds are not accompanied by conditions, explicit or implicit, on the implementation of financial literacy education programming that may be detrimental to the neutral and rigorous teaching of financial literacy or that may unduly influence the direction of financial literacy education policy. The review shall be made publicly available.

(d) Annually, not later than October 1, the commissioner shall report to the clerks of the house of representatives and senate, the joint committee on education and the house and senate committees on ways and means on the fund's activity. The report shall include, but not be limited to: (i) the source and amount of funds received; (ii) the amounts distributed and the purpose of

expenditures from the fund, including but not limited to, funds expended to assist school districts in implementing financial literacy (iii) any grants provided to institutions of higher education and other stakeholder organizations; (iv) anticipated revenue and expenditure projections for the next year; (v) the number of schools and school districts that have used the fund to implement a new program or enhance or maintain current programming and (vi) the number of schools and school districts that applied for, but were not granted, funding. The report shall be publicly available on the department's website.

SECTION 2. Section 1R of chapter 69 of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by striking out subsection (a) and inserting in place thereof the following subsection:-

(a) Financial literacy standards established pursuant to section 1D shall promote an understanding of personal finances including, but not limited to: (i) loans; (ii) interest and interest accrual; (iii) using credit and making investments, risks of various financial instruments and basic diversification of assets; (iv) online commerce; (v) rights and responsibilities of renting or buying a home or making other large purchases or investments; (vi) saving, investing and planning for retirement (vii) the role of banking and financial services; (viii) balancing ledgers and checkbooks; (ix) state and federal taxes; (x) charitable giving; (xi) evaluating media content, including online content, that relates to personal finance matters; (xii) saving, investing and planning for post-secondary education or professional training; (xiii) earning and spending income, methods of payment, consumer protection, and budgeting; (xiv) protecting and insuring assets, preventing identity theft and avoiding online scams; and (xv) emerging technologies in the financial industry, including, but not limited to, a basic understanding of cryptocurrencies,

54 online commerce and computer stock trading, how to evaluate digital media content relating
55 personal finance matters and how to recognize risk.

56 SECTION 3. Section 1R of chapter 69 of the General Laws, as appearing in the 2022
57 Official Edition, is hereby amended in subparagraph (b) by striking out the word “may” and
58 inserting in place thereof the following word:- shall.

59 SECTION 4. Section 3 of this act shall take effect one full academic year from
60 enactment.